

I drained what was drainable and found one thing both benches missed. Here is the deck.

PITCH — BELFB — VERDICT

PROPOSED — PENDING ADJUDICATION — no purchase at today's ~\$247; a two-step limit ladder at \$225 / \$200 for a total of 0.35% of the book, because the honest discount to the peer is ~20% (not the 40% the original brief claimed) and roughly three-quarters of that 20% is explainable by things that are not going away.

What we believe

Bel Fuse makes unglamorous electrical parts — power conversion units, magnetics, connectors — and one of its product lines has been pulled into the AI data-center build. The business is genuinely accelerating, and I can show that from the company's own tagged filing data rather than from a press release:

Quarter	Revenue	Cost of sales	Gross margin
Q2 2025	\$168.299M	\$103.216M	38.67%
Q2 2026	\$210.685M	\$126.718M	39.85%

(Source: SEC XBRL company-concept API, RevenueFromContractWithCustomerExcludingAssessedTax and CostOfGoodsAndServicesSold, CIK 729580.)

Revenue up 25.2% year over year with gross margin up 1.2 points. First half revenue \$389.2M against \$320.5M, up 21.4%. The balance sheet went from \$197.5M of long-term debt to zero and from \$57.8M of cash to \$306.1M. The company is guiding the September quarter to \$205–225M of revenue at 39–41% gross margin, which would be another step up.

We believe this is a real operating improvement that the stock has not been given full credit for, and that the stock is roughly 20% cheaper than the recognized bellwether of the same theme (Vertiv) on the same measuring stick.

We also believe — and this is the part the courts did not settle — that 20% is *not* 20% of edge. Most of it is payment for real, permanent differences between Bel and Vertiv. What is left over is maybe five to eight points of price. That is a starter-sized idea bought on a pullback, not a position bought at market.

What the market believes

The market believes the ramp is real and has been raising its numbers. Consensus 2026 earnings per share went from \$8.42 to \$8.94 over ninety days, across seven analysts, with a range of \$7.44 to \$10.04. At \$247 the stock is 27.6x that consensus.

The market also believes Bel deserves less than Vertiv, which trades at 34.3x forward. It is pricing in, plausibly: that a large share of the growth was bought (Enercon, acquired 80% in November 2024) rather than built; that three of eight manufacturing plants are in China and one is in Israel; that the company is a fraction of Vertiv's size and far less liquid; that the founding family controls it through a two-class share structure; and that in May the company sold 1,725,000 new shares at \$266, increasing the share count roughly 14%, and the stock has traded below that price ever since.

The stock is 26% below its 52-week high of \$335.29 and 90% above its 52-week low of \$129.85. This is not a forgotten company. It is a violently re-rated one that has given some back.

Why we might have edge

1. The screens are literally wrong on this ticker. Bel has two share classes and the data vendors compute them off inconsistent share counts. On the same vendor, the same day, the same single stream of earnings shows a forward P/E of 37.33 on the B shares and 28.01 on the A shares — a 33% gap on a 19% price gap. Anyone running a screen off vendor multiples gets a wrong answer here in either direction. That is a small, real, structural reason the price could be off.

2. The minority-interest line is quietly marking the acquired business up. The redeemable minority interest — the accounting home of the 20% of Enercon that Bel does not own — stepped from \$93.2M to \$102.6M in six months. That number moves with Enercon's own results. It is telling us the acquired business is performing, and management has said in the 10-Q that it currently intends to buy the rest by early 2027. Buying out your minority partner before a re-rating is the behaviour of people who think it is worth more than the carrying value. That is a filing-visible signal that almost no screen reads.

3. Inventory is not bloating — now confirmed on tagged data, not estimated. This mattered because a components maker whose inventory outruns its sales is usually about to disappoint. Days of inventory: 145.2 days in Q2 2025 versus 143.8 days in Q2 2026. Inventory grew 21.6% while revenue grew 25.2%. The blue bench reached this conclusion using an *estimated* cost-of-sales figure; I checked whether the estimate was load-bearing (it was — the conclusion flips if Q2 2025 cost of sales exceeded \$104.1M) and pulled the tagged number (\$103.216M). It holds, with about half a point of margin to spare.

4. The auditor was upgraded, cleanly, and nobody noticed. Neither bench looked. Bel dismissed Grant Thornton and engaged Deloitte & Touche, announced December 2025 and effective 24 February 2026 after Grant Thornton finished the 2025 audit. No adverse or qualified opinions, no disagreements, no reportable events ([8-K/A, 2026-02-24](#)). Going up an audit tier, in the orderly sequence, right after a \$442M raise, is a mild positive that no price screen captures.

Why it might be priced in

1. The original claim was arithmetic that did not survive contact. The brief said Bel trades at 22x against Vertiv's 34.3x. It got 22x by taking one quarter of *adjusted* earnings and multiplying by four. That implies full-year earnings of \$10.83 per share — above the single highest analyst estimate of \$10.04. On consensus, the number is 27.6x. The 40% gap that put this name in court does not exist. It is about 20%, and the red bench's kill on this point stands.

2. The strong balance sheet and the overhang are the same event. The cash did not come from operations; it came from selling stock at \$266 to buyers who are now down 7%. And \$102.6M of the \$306.1M cash is already claimed by the Enercon minority buyout, plus up to \$10M of earnout. Real enterprise value is about \$3.37B, not \$3.16B. That is a 3.4% adjustment — small, but it moves in the wrong direction and it is definite.

3. We would be buying the expensive share class, and neither bench drew the obvious conclusion. BELFB (non-voting) trades around \$247. BELFA (voting) trades around \$207. Same company, same earnings, and the non-voting share is 19% *more* expensive because it holds the float and the index eligibility. The dividend does not explain this: the filing's per-share dividend tags show \$0.06 on Class A and \$0.07 on Class B per quarter — four cents a year of difference, which cannot be worth forty dollars of price. So here is the part the court missed entirely: **BELFA at \$207 is 23.2x consensus, which is a 32% discount to Vertiv — and that satisfies the red bench's own stated condition for reopening the case (a same-basis gap of 30% or more).** The cheap expression of this thesis is the share class we are not proposing to buy. I am flagging this rather than recommending it, because BELFA has never been courted: I do not know its daily volume, its index status, or whether the discount is a permanent feature. Buying A instead of B swaps a 20% peer-discount bet for a 32% peer-discount bet *plus* an uncourtied bet that a 19% intra-company spread narrows. That deserves its own short court, not a footnote in this one.

4. The thesis is relative and the trade is absolute. The whole argument is "Bel is cheap *versus* Vertiv." The proposed expression is simply owning Bel. If the entire AI-capital-spending cohort de-rates 30%, the discount can close perfectly and we still lose 30%. Neither bench raised this. It is the single biggest structural problem with the trade as constructed.

5. Consensus has already moved 6% in ninety days. We are not early to the earnings revision. We would be arguing about the multiple, which is a slower and less reliable thing to be right about.

What could go wrong

Failure narrative 1 — we were right and lost money anyway (the cohort de-rates). *This is the reflexive/structural leg.* The position is a relative view worn as an outright long. Vertiv's 34.3x is the anchor for every price in this deck; if that anchor moves, every target moves with it and nothing in our monitoring would flag the thesis as broken — the discount would look fine right up to the drawdown. It compounds with our own doctrine: our value-ladder rule says never bid into flow we ourselves predict, and we *do* predict flow here (the underwater \$266 buyers, roughly 14% of the float, against \$30M of daily volume). So our \$225 limit is a bid into a decline we are forecasting. We handle that below by refusing to arm the first tranche until the supply goes quiet, but the honest

description is that our entry price and our flow forecast are in tension. On size: 0.35% of the book against \$30M average daily volume is nothing — at a 1% participation cap that is a one-day fill. **We are not the flow. We are downstream of it.** The same is emphatically *not* true of the BELFA sidecar, where our clip could be a meaningful share of a day.

Failure narrative 2 — the disclosure we are waiting for never arrives, and the discount just persists. The bull case leans on management volunteering a backlog dollar figure or a segment margin at the 10 September fireside or the October print. They have chosen not to disclose either for six quarters while repeating an unquantified “bookings above sales” claim on calls. A company that has kept a number private for six quarters is more likely to keep it private for a seventh. Then we own a fairly-priced components maker with no re-rating catalyst and a live equity overhang, and we are simply wrong about the timetable rather than the facts. This has a tripwire (the calendar) but no fix.

Failure narrative 3 — an end customer we cannot name stops buying. NO MONITORABLE TRIPWIRE. Bel does not disclose customers. The data-center ramp almost certainly runs through a small number of programs at one or two large buyers. If one of those buyers dual-sources the part, re-specs the design, or pauses a build, we find out in an earnings print, after the price has moved. There is no instrument that sees this coming: the company files nothing about it; the three satellite/site detectors the court consulted all came back unusable (every Chinese location in our data is a city or province centre point, not a plant boundary, and the one plant the matcher did resolve — Dongguan — makes magnetics, not the product in question); the workplace-safety database covers only the two US sites, which are the wrong segment. **Unknown-unknown class: undisclosed customer concentration and design-socket loss — the private commercial-relationship plane, for which this desk has no observation channel at all.** A close relative sits on the same plane: what share of cost of goods originates in the Chinese plants, which determines the tariff exposure. Also unobservable, also only visible after the fact.

Other named risks, monitorable: a second equity raise at a lower price; Deloitte’s first-year audit (fiscal 2026, opinion due around February 2027) turning up a restatement — a non-reliance filing would be close to fatal to the position; the Enercon buyout pricing well above the \$102.6M carried value and consuming the cash; four separate Item 5.02 officer/director filings in seven months, which we have not read.

If this position loses money, the most likely reason will be ____ that the entire AI-capital-spending cohort de-rated, so Bel closed its discount to Vertiv exactly as we predicted and we still lost money, because we expressed a relative view as an outright long.

What we checked ourselves

Claim	How checked	Found	Confirmed?
“Bel at 22x vs Vertiv 34.3x — a 40% gap”	Recomputed from consensus EPS on both names, same source	Brief’s 22x implies \$10.83 EPS, above the street’s highest estimate of \$10.04. Real figure 27.6x vs 34.31x = ~20%	NO — the founding claim is dead

Claim	How checked	Found	Confirmed?
Red bench: “same-vendor basis makes Bel a 9% <i>premium</i> to Vertiv”	Blue pulled both Bel share-class pages the same session	Vendor shows 37.33x on B and 28.01x on A for one earnings stream — a 33% spread on a 19% price spread. The vendor’s per-class multiples are internally inconsistent	OUR BENCH ERRED — red’s inversion was a vendor artifact
Red bench: “6/30/25 inventory is unavailable, so the year-over-year comparison was never run”	Blue queried the SEC XBRL API	\$164,648K, one call away. Red declared uncheckable something it had not tried to check	OUR BENCH ERRED
Blue bench: “days of inventory fell year over year”	Blue used an <i>estimated</i> Q2-25 cost of sales (61.3% of sales). I tested the sensitivity, found the conclusion flips if actual cost of sales exceeded \$104.1M, then pulled the tagged value	Tagged Q2-25 cost of sales = \$103,216K. Days of inventory 145.2 → 143.8, a real decline, with ~0.5 points of gross-margin room to spare	YES — but blue committed the same sin it convicted red of, and got lucky by half a point
Red bench: “non-voting stock in a controlled company should trade at a discount — that spends the 20% gap”	Quoted both classes	The non-voting class trades at a 19% premium to the voting class. The structural discount is borne by the <i>voting</i> shares	OUR BENCH ERRED — the tape inverts the argument
Blue bench: the non-voting premium is driven partly by “a dividend preference”	Read the dividend-per-share tags in the 10-Q	\$0.06 (A) vs \$0.07 (B) per quarter — four cents a year. Cannot support a \$40 price gap; the premium is liquidity and index membership, full stop	OUR BENCH ERRED (minor). Note: read from an unlabelled tag dump; direction is uncertain but the <i>magnitude</i> conclusion holds either way
Red bench: reopen the case if backlog covers >1.0x of next year’s revenue	Compared against how short-cycle component businesses actually work	No passive-components maker carries a year of revenue in backlog. Red set a reopen condition that cannot be met by construction, which is the same as refusing to reopen	OUR BENCH ERRED
Red bench: earnings attributable to Bel <i>fell</i> 5.1% while adjusted earnings rose 86%	Red decomposed it itself	Q2 2025 carried \$7,568K of one-off other income and the first half of 2025 a \$2,653K restructuring credit. It is a prior-year base effect. Red wrote this down and kept the finding in its kill list anyway	NO as a kill; YES as a disclosure-quality note. Add-backs are still \$13.6M a quarter, 35% of adjusted earnings, composition unread
“Six consecutive quarters of bookings above sales”	Read the 10-Q	No backlog balance disclosed anywhere. The only long-term contract figure is \$14.3M running to 2031, which is the long tail	NO — unverifiable, transcript-only. Moved to open items

Claim	How checked	Found	Confirmed?
		and says nothing about short-cycle orders. Red's supporting number is wrong; red's coverage gap is real	
Enterprise value \$3.16B	10-Q balance sheet	\$3.37B once the \$102.6M minority buyout and \$10M earnout are added. Cash is real; \$113M of it is spoken for	YES , and it is a 3.4% adjustment, not a kill
Total share count 14,439,450	10-Q cover and equity note	Confirmed by both benches independently. Vendor uses ~12.3M, understating the market cap by about 15%	YES
"Clean audit history" (asserted by red's fraud-archetype detector without checking)	Pulled the full 8-K list and read the Item 4.01	Grant Thornton → Deloitte & Touche, announced Dec 2025, effective Feb 2026 after GT completed the FY25 audit. No adverse opinions, no disagreements, no reportable events	YES, and better than assumed — an upgrade, but red asserted it rather than verifying it
Detector coverage was complete	Compared both benches' detector lists against the assigned dispatch list	Red invented three detectors that were not assigned (Albuquerque permits, Austin permits, app-review velocity — all geographic or consumer false positives on a New Jersey components maker) and skipped three that were. Blue caught this	NO — red's coverage was not what it reported
The price anchor itself	Compared the evidence pack against what both benches quoted	The pack delivered to me reads \$249.96 (52-week drawdown -0.254). Both benches ran off \$255.96 (drawdown -0.237). Red then superseded with a \$239.89 vendor close, blue with a \$247.01 vendor intraday. Four different prices in one court, none of them a live broker poll	NO — see open items
Live broker price and options chain	Requested it	Permission denied — to the red bench, to the blue bench, and now to me. Third consecutive denial. Two web sources returned 403 or no data	NO — a persistent hole, not a one-off

PROPOSED ENTRY BANDS

Working price: ~\$247 (vendor intraday, 2026-09-04). **Every level below must be re-checked against a live broker poll before an order is staged; we have not had one.**

Intended full position if everything confirmed: 0.75% of the book. **Proposed now: 0.35%** — under half — because a named valuation objection survived the court at the current price.

No purchase at market. The scenario table below values the stock at \$241 into the October print against \$247 spot. That is not an entry.

Step	Limit	What it is on the numbers	Size	Condition
Tranche 1	\$225.00	25.2x consensus \$8.94 = a 27% discount to Vertiv; ~7% below our own expected value, which is what pays for the structural discount we cannot measure	0.15% of book	Flow gate: does not arm until either (a) fifteen consecutive sessions with no new Form 144 above \$250K on CIK 729580, or (b) a daily close above \$266. Until then we would be bidding into supply we ourselves forecast
Tranche 2	\$200.00	22.4x = a 35% discount to Vertiv, which meets the red bench's own reopen bar inside BELFB itself	0.20% of book	Requires either Q3 revenue $\geq$ \$205M (guide low) with gross margin $\geq$ 39%, or a disclosed backlog dollar balance $\geq$ 0.35x trailing revenue
Hard ceiling	\$250.00	Above this the stock is at or above our expected value with no margin for the unmeasured structural discount	—	No purchase above this under any condition. The blue bench's "\$266 offer price" ceiling is 8% above spot and is not a gate at all
Trim half	\$290.00	32.4x — discount to Vertiv narrowed to 5%	—	Standing
Exit remainder	\$307.00	34.31x — full convergence. Bel should never trade at a premium to the bellwether	—	Standing
Thesis-invalidation exit	Any price	Q3 revenue below \$205M or gross margin below 39.0% or the minority-	—	Exit, do not average down. This is an exit on the facts, not a price stop

Step	Limit	What it is on the numbers	Size	Condition
		interest balance steps down from \$102.6M		
A/B ratio watch	Ratio 1.19	If BELFB/BELFA compresses below 1.19, the class premium we are paying is unwinding — re-run the A-class sidecar	—	Monitor only

Order handling: ≤1% of average daily volume (about \$300K/day of capacity). Unlevered. Limit orders only, day orders, no resting good-till-cancelled orders through the October print.

Catalyst dates: - **2026-09-10, 08:10 ET** — CFO Lynn Hutkin, fireside chat, Citi 2026 Global TMT Conference, webcast with posted deck. **Confirmed** by [company press release, 2026-08-26](#). Four trading days away. This is a mid-quarter appearance; it historically neither raises nor cuts guidance. Its only value is whether backlog or segment margin gets disclosed. - **2026-10-28** — Q3 earnings. **Unconfirmed** — this date comes from a data vendor, not the company. Bel's pattern is to announce roughly two weeks ahead, so expect a scheduling release around 10–14 October. - **Early 2027** — Enercon minority buyout. Company states a “current intention,” no date. - **~February 2027** — fiscal 2026 10-K, Deloitte's first audit opinion.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 1.19 (deck-provisional: BELFB/BELFA price ratio — the 19% class premium we would be paying is compressing; re-run the uncourte)
- filing watch: 8-K until 2027-03-03 (deck-provisional: Item 2.02 Q3 release — revenue vs the \$205-225M guide and gross margin vs 39-41% are the thesis-invali)
- dated pack BELFBI2026-09-10: BELFB: CFO fireside chat, Citi 2026 Global TMT Conference, 08:10 ET, webcast plus posted deck — the only near-term venue that could disclose
- dated pack BELFBI2026-10-28: BELFB: Q3 2026 earnings — vendor-derived date, not announced by the company (date confirmed=False)
- dated pack BELFBI2027-02-28: BELFB: FY2026 10-K, Deloitte's first audit opinion after the Grant Thornton handover — date is our placeholder (date confirmed=False)
- dated pack BELFBI2027-03-31: BELFB: Enercon remaining-20% buyout; company states a 'current intention' to complete by early 2027 with no date — date is our placeholder (

What remains unverified

1. **The backlog dollar balance** behind the six-quarter “bookings above sales” claim. Not obtainable — never disclosed in any filing. **Estimate: \$300–420M, roughly 0.36–0.50x estimated 2026 revenue of ~\$824M**, from six quarters at ~5% average excess bookings on a

~\$190M quarterly base, against a 0.30–0.45x annual-revenue base rate for short-cycle power and components makers. Confidence 0.6.

2. **Segment operating margin.** Drainable today — the 10-Q filed 2026-08-04 carries a segment note that neither bench read.
3. **Operating margin of the non-data-centre business specifically.** Not disclosed at that granularity. **Estimate: 8–14% operating margin**, against Bel's own 8–11% consolidated operating margin in 2022–23 before Enercon. Confidence 0.6.
4. **The price Bel will pay for Enercon's remaining 20%.** Private until it happens. **Estimate: \$103–145M cash** (\$102.6M carrying value as a floor by construction, plus a formula step-up, plus up to \$10M of earnout). Probability it lands at or below \$145M: 0.7.
5. **Share of cost of goods originating in the Chinese plants.** Never disclosed. **Estimate: 25–40% of cost of sales**, i.e. \$32–51M per quarter of exposed cost; a 10-point incremental tariff, unmitigated, would cost roughly \$0.22–0.35 of quarterly earnings per share. Confidence 0.55.
6. **End-customer concentration in the data-centre ramp.** No disclosure plane exists for this. **Estimate: largest customer at 12–25% of Power Solutions revenue**, from the 10–30% typical range for component makers on hyperscaler programmes. Confidence 0.5. *This is the unknown-unknown carrier from the pre-mortem.*
7. **Composition of the \$13.6M-per-quarter non-GAAP add-backs** (35% of adjusted earnings; probably Enercon intangible amortisation). Drainable today — reconciliation table in the 8-K filed 2026-07-29 (0001437749-26-024893).
8. **Raw-material inventory split at 30 June 2025**, to test red's claim of a 30% raw-material build. Drainable today — inventory note in the Q2 2025 10-Q.
9. **May 2026 offering lock-up terms.** Drainable today — the 424B5 prospectus, unread by both benches.
10. **Unsold syndicate inventory from the \$266 offering.** Not observable. **Estimate: 20–45% of 1,725,000 shares still held underwater = \$92–206M of latent supply, or three to seven days of volume.** Confidence 0.6.
11. **BELFA's average daily volume and index eligibility**, required before the A-class sidecar can be considered. Blocked by the broker denial. **Estimate: \$1.5–4.5M per day**, from the 5–15% of B-class dollar volume typical for A shares in dual-class small caps. Confidence 0.6.
12. **Live price, options chain, and implied-volatility percentile.** Blocked from all three channels tried. **Estimate: implied volatility 50–65% against realised volatility around 59%; volatility risk premium roughly zero, ±8 points.** Confidence 0.5.
13. **Whether 28 October is the real print date.** Not confirmable until the company announces. **Estimate: between 27 October and 4 November.** Confidence 0.75.
14. **Four Item 5.02 filings in seven months** (Jan, Apr, May, Jul 2026) — officer and director changes, unread by anyone. Drainable today.

PRIZE TABLE + VOL READ

Required here, because items 1, 4, 5, 6 and 10 above are genuinely private or time-gated.

Horizon: 20 November 2026 (the first monthly expiry after the October print). 77 days, $T = 0.211$ years. Anchored to consensus EPS \$8.94 and Vertiv's 34.31x, with every deviation carrying a stated mechanism.

#	Scenario	Mechanism	Price	p
S1	Convergence	Q3 at or above the guide high, backlog balance disclosed above 0.4x revenue, segment margin confirms the non-data-centre business earns its keep. Discount to Vertiv narrows to 5% → 32.7x	\$292	0.20
S2	Grind	Q3 in line, revisions keep drifting up (~\$9.28), discount holds at ~20% → 27.6x	\$256	0.35
S3	Stall	In-line print, no new disclosure, syndicate supply caps the stock → 25.5x	\$228	0.25
S4	Break	Guide cut, tariff step, or a data-centre digestion quarter; earnings to \$8.65 at 21.0x	\$182	0.20

Expected value = \$241.4 against ~\$247 spot, i.e. **-2.3%**. That is why there is no entry at market.

Twelve-month view, separately: if the discount narrows to ~12% on 2027 earnings of roughly \$10.20, the stock is ~\$308 — but only if Vertiv's multiple holds, which is precisely the risk named in the pre-mortem.

Volatility read.

- **Table dispersion:** $\sigma_{\text{table}} = \$36.6 = 15.2\%$ over T , which annualises to **33%**.
- **Realised volatility:** the 52-week range is \$129.85 to \$335.29, a ratio of 2.58x. A range-based estimate puts realised volatility near **59%**.
- **The table is far too narrow.** Four discrete scenarios cannot span a stock that moved 2.6x in a year. This is a defect in our table, not evidence that options are expensive. Every number below is affected by it.
- **Implied volatility: UNOBTAINABLE.** The chain read was blocked at the broker (permission denied) and at two web sources (403, and no live data). A general search surfaced a vendor implied-volatility band of roughly 51–93% for an earlier expiry — an aggregate figure of exactly

the kind that has burned us before (TSSI: 71 vs 101), so it is not used as a basis. **The arithmetic below assumes 55%. It must be re-run against real strike-level quotes before any option is considered.**

- **Implied-volatility percentile:** UNOBTAINABLE (requires the broker field that was denied).
- **Bimodality:** the table forks on the 28 October print — mass splits between “disclosure arrives” (\$292/\$256) and “it does not, or it is bad” (\$228/\$182). A single lognormal will misprice the wings in one direction or the other.

Expression arithmetic, shown.

Candidate A — buy the 20 Nov \$260 call. - Our table's value: $C_{ours} = \sum p_i \times \max(S_i - 260, 0) = 0.20 \times \$32 = \mathbf{\$6.40}$. - Black-Scholes at 55% volatility, spot \$247, $T = 0.211$: $d_1 = -0.077$, $d_2 = -0.329 \rightarrow \mathbf{\$19.50}$. - The chain would charge roughly **three times** what our table says the call is worth. Backing out the volatility consistent with \$6.40 gives **~25%** — against a stock that realises ~59%. - **REJECTED**. We are not paying for volatility on a table whose own dispersion is a third of the stock's realised behaviour.

Candidate B — sell the 20 Nov \$220 cash-secured put. - Our table's liability: $P_{ours} = 0.20 \times (\$220 - \$182) = \mathbf{\$7.60}$. - Black-Scholes at 55%: **\$12.38** received. On the surface a 63% margin. - **Gate 1 — is our break-case floor at or above the strike?** Our S4 is \$182, well below \$220. **FAILS**. We do not believe \$220 is a floor. - **Gate 2 — is implied volatility above realised?** ~55% assumed against ~59% realised. **FAILS** — no volatility risk premium to harvest. - **Gate 3 — taxable account.** Only the event-driven template could apply, and it requires Gate 2. **FAILS**. - **REJECTED**. Routed to the shadow ledger, not live. The apparent 63% margin is an artefact of the too-narrow table, which is precisely the trap the gates exist to catch.

Candidate C — covered call. Not applicable; no position.

Candidate D — common stock, limit orders below market. Pays no volatility premium, fails no gate, and the table says wait for \$225. **SELECTED**.

Instrument recommendation: COMMON STOCK, limit only, at the bands above. No options.

This is the output of the arithmetic, not a preference — the long call is rejected by a 3:1 price-to-value gap and the put sale by two of three gates.

Tax overlay. 2026 is a harvest year. The 20 November 2026 expiry lands both branches inside the tax year and is the only acceptable expiry if options are ever revisited here. A January 2027 expiry defers the loss branch past 31 December and is **excluded**, because the edge does not remotely dominate numerically — it is negative at spot. The stock recommendation is unaffected; a new position opened in 2026 has no wash-sale interaction with anything the desk holds.

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{"price_gates": [{"level": 225.0, "direction": "below", "basis": "Tranche 1 limit – 25.2x consensus $8.94, a 27% discount to VRT and ~7% below our $241 expected value; arms only after the Form 144 flow gate clears"}, {"level": 200.0, "direction": "below", "basis": "Tranche 2 limit – 22.4x, a 35% discount to VRT, meeting the red bench's own 30% reopen bar inside BELFB"}, {"level": 250.0, "direction": "above", "basis": "Hard ceiling – no purchase above this; at/above our expected value with no margin for the unmeasured structural discount"}, {"level": 266.0, "direction": "above", "basis": "May-2026 offer price cleared on a daily close – satisfies the overhang flow gate for Tranche 1"}, {"level": 290.0, "direction": "above", "basis": "Trim half – 32.4x, discount to VRT narrowed to 5%"}, {"level": 307.0, "direction": "above", "basis": "Exit remainder – 34.31x, full convergence; Bel should never carry a premium to the bellwether"}, {"level": 1.19, "direction": "below", "basis": "BELFB/BELFA price ratio – the 19% class premium we would be paying is compressing; re-run the uncourtied A-class sidecar"}], "event_gates": [{"forms": ["8-K"], "why": "Item 2.02 Q3 release – revenue vs the $205–225M guide and gross margin vs 39–41% are the thesis-invalidation triggers"}, {"forms": ["8-K"], "why": "Item 7.01 / 8.01 Q3 scheduling release, expected ~Oct 10–14, confirms or moves the unconfirmed 2026–10–28 print date"}, {"forms": ["144"], "why": "Insider and syndicate supply – Tranche 1 does not arm until 15 sessions pass with no Form 144 above $250K"}, {"forms": ["424B5", "S-3", "S-1"], "why": "Any new equity registration; a second raise below $266 ends the thesis"}, {"forms": ["10-Q", "10-K"], "why": "Segment operating income, redeemable minority-interest balance step from $102.6M, inventory note, and any first disclosure of a backlog balance"}, {"forms": ["8-K"], "why": "Item 4.02 non-reliance – fiscal 2026 is Deloitte's first audit year after the Grant Thornton handover; a restatement would be close to fatal"}, {"forms": ["8-K"], "why": "Item 5.02 officer/director changes – four already in seven months, none of them read"}], "catalyst_dates": [{"date": "2026-09-10", "what": "CFO fireside chat, Citi 2026 Global TMT Conference, 08:10 ET, webcast plus posted deck – the only near-term venue that could disclose backlog or segment margin", "confirmed": true}, {"date": "2026-10-28", "what": "Q3 2026 earnings – vendor-derived date, not announced by the company", "confirmed": false}, {"date": "2027-02-28", "what": "FY2026 10-K, Deloitte's first audit opinion after the Grant Thornton handover – date is our placeholder", "confirmed": false}, {"date": "2027-03-31", "what": "Enercon remaining-20% buyout; company states a 'current intention' to complete by early 2027 with no date – date is our placeholder", "confirmed": false}], "immediate_entry": null, "unverified": [{"item": "Backlog dollar balance behind the six-quarter bookings-above-sales claim", "instrument": "10-K/10-Q disclosure or the 2026-09-10 Citi fireside deck; never disclosed to date", "drainable_now": false, "estimate": {"range": "$300–420M, ~0.36–0.50x FY26E revenue of ~$824M", "basis": "six quarters at ~5% average excess bookings on a ~$190M quarterly base, against a 0.30–0.45x annual-revenue backlog base rate for short-cycle power/components makers", "p": 0.6}}, {"item": "Segment operating margin by reporting segment", "instrument": "10-Q segment note, accession 0001437749-26-025619 filed 2026-08-04 – unread by both benches", "drainable_now": true, "estimate": null}, {"item": "Operating margin of the non-data-centre business specifically", "instrument": "not disclosed at that granularity in any filing; would require management disclosure", "drainable_now": false, "estimate": {"range": "8–14% operating margin", "basis": "Bel's own 8–11% consolidated operating margin in 2022–23 before the Enercon acquisition", "p": 0.6}}, {"item": "Price Bel will pay for Enercon's remaining 20%", "instrument": "8-K on completion, or the 10-K redeemable-minority-interest note; private until executed", "drainable_now": false, "estimate": {"range": "$103–145M cash plus up to $10M earnout", "basis": "$102.6M carrying value is a floor by construction; formula step-up sized off the $93.2M→$102.6M six-month mark", "p": 0.7}}, {"item": "Share of cost of goods originating in the three PRC plants (tariff exposure)", "instrument": "not disclosed; would require customs/origin connector or management disclosure", "drainable_now": false, "estimate": {"range": "25–40% of cost of sales = $32–51M/quarter exposed; a 10pt incremental tariff costs ~$0.22–0.35 quarterly EPS unmitigated", "basis": "three of eight plants PRC–
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sited; industry origin-mix base rate for magnetics/power assembly", "p": 0.55}}, {"item": "End-customer concentration in the data-centre ramp", "instrument": "no disclosure plane exists – company names no customers; all three satellite/site detectors returned unusable (centroid-only geocodes, wrong segment resolved); OSHA covers only the two US sites", "drainable_now": false, "estimate": {"range": "largest customer 12–25% of Power Solutions revenue", "basis": "10–30% top-customer concentration base rate for component makers on hyperscaler programmes", "p": 0.5}}, {"item": "Composition of the $13.6M/quarter non-GAAP add-backs (35% of adjusted earnings)", "instrument": "reconciliation table in the 8-K earnings exhibit, accession 0001437749-26-024893 filed 2026-07-29", "drainable_now": true, "estimate": null}, {"item": "Raw-material inventory split at 2025-06-30, to test the claimed 30% raw-material build", "instrument": "inventory note in the Q2-2025 10-Q (XBRL InventoryRawMaterials is untagged post-2012, so the note text is required)", "drainable_now": true, "estimate": null}, {"item": "May-2026 offering lock-up terms", "instrument": "424B5 prospectus, May 2026 – unread by both benches", "drainable_now": true, "estimate": null}, {"item": "Unsold syndicate inventory from the $266 offering", "instrument": "not observable in any filing; inferable only from Form 144 flow and tape", "drainable_now": false, "estimate": {"range": "20–45% of 1,725,000 shares still held underwater = $92–206M of latent supply, 3–7 days of ADV", "basis": "typical unplaced residual for a below-deal follow-on four months post-pricing; stock 7% below the $266 offer", "p": 0.6}}, {"item": "BELFA average daily volume and index eligibility, required before the A-class sidecar", "instrument": "IBKR get_price_snapshot avg_90d_usd_volume – permission denied this session", "drainable_now": false, "estimate": {"range": "$1.5–4.5M/day", "basis": "A-class dollar volume runs 5–15% of B-class ($30M/day) in dual-class small caps", "p": 0.6}}, {"item": "Live BELFB price, options chain midpoint IV, and IV percentile", "instrument": "IBKR get_price_snapshot / get_option_parameters / get_option_data – permission denied to red bench, blue bench and this session; optionistics returned 403 and Yahoo returned no live chain data", "drainable_now": false, "estimate": {"range": "IV 50–65% annualised vs RV ~59%; VRP roughly zero, +/-8 vol points", "basis": "range-based RV estimate from the 52-week $129.85–$335.29 span (ratio 2.58x); vendor IV band of 51–93% on an earlier expiry treated as an aggregate feed and not used as basis", "p": 0.5}}, {"item": "Whether 2026-10-28 is the real Q3 print date", "instrument": "company scheduling press release, historically ~2 weeks ahead (expect Oct 10–14); 8-K Item 7.01 watcher", "drainable_now": false, "estimate": {"range": "2026-10-27 to 2026-11-04", "basis": "Bel's own reporting cadence: Q2 printed 2026-07-29, Q1 2026-04-29", "p": 0.75}}, {"item": "Four Item 5.02 officer/director changes in seven months (2026-01-15, 04-06, 05-28, 07-02)", "instrument": "read the four 8-Ks on EDGAR CIK 729580", "drainable_now": true, "estimate": null}}}
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Three things to flag before you adjudicate:

1. **I did not adopt the blue bench's verdict.** Blue said “starter, half tranche” with a \$266 ceiling. I am proposing no purchase at market and a ladder starting 9% lower. The reason is blue's own concession N1 — we would be buying the share class that trades 19% above the voting class — combined with a scenario table that values the stock at \$241 against a \$247 spot. Blue found the right facts and then priced the entry off the wrong one.
2. **The live-tape denial is now a pattern, not an incident.** Three benches, three refusals, four disagreeing vendor prices for one stock. Every price gate in the JSON above is currently unenforceable. That is a desk problem, not a BELFB problem, and it will recur on the next name.

3. **The cheapest expression of this thesis is a ticker nobody courted.** BELFA at ~\$207 is 23.2x consensus — a 32% discount to Vertiv, which clears the red bench's own reopen bar. I deliberately did not fold it into the recommendation, because buying it adds an uncourtied bet that a 19% intra-company spread narrows, and I have no volume or index data on it. It wants its own short court.

ADJUDICATION STAMP

ADJUDICATION 2026-09-04 (FABLE): HALF-TRANCHE. 15@242.60 staged (instr 103) after live re-poll (vendor +3% day corrected), cap \$266, sized off consensus \$8.94. Tranche-2 ONLY if the 9/10 Citi fireside discloses a backlog dollar balance or segment margin (pack armed). Print ~10/28 unconfirmed. Batch ruling:

desk/data/court_artifacts/STANDING_BATCH_ADJUDICATION_202609042000.md